handling rehabilitation, legal and political hurdles, upgrading basic infrastructure like sewerage, roads and water supply into a formal urban grid, and balancing livelihood preservation with modern urban norms posed, as he put it mildly, "delicate challenges". Indeed, they could derail timelines and inflate costs.

Adani executives are tight-lipped regarding details of the planned projects for open market sale, saying their priority is to ensure the rehabilitation of Dharavi slum-dwellers by 2032. While 100 million sq. ft will be utilised for rehabilitation, in Dharavi as well as other sites earmarked for affordable/rental housing across Mumbai, it will also open up 140 million sq. ft of FSI (floor space index) and TDR (transferable development rights, which allows 'development potential' to be reassigned from one property to another) for free/ open market sale.

Experts say that land rates in Dharavi, which now average around Rs 12,000 per sq. ft and can go up to Rs 75,000/sq. ft for prime property, will appreciate manifold over the next two decades. Property prices next-door, in the Bandra Kurla Complex (BKC), one of the most expensive business districts in India, are in the Rs 60,000-86,000 per sq. ft band. A real estate expert, who did not wish to be identified, says that construction project returns are an average of 15-30 per cent on equity, depending on factors like time taken for development, FSI, execution cost and location. If the rehab and sale components are delayed due to social/ political factors, the returns could be lower, he adds. Another consultant estimates that selling 140 million sq. ft in the open market could fetch Adani Rs 5.6 lakh crore in revenues and at least Rs 84,000 crore in profits, taking a conservative profit margin of 15 per cent.

THE RED FLAGS

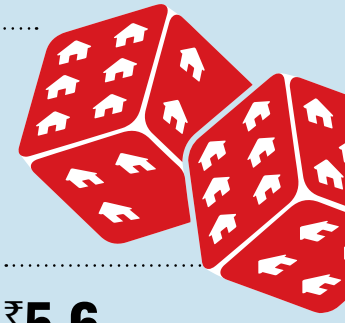
But the project is not without controversy, starting with how the Adanis got the Dharavi contract in the first place. Back in February 2019, the UAE-based Seclink Technologies Corporation, with a Rs 7,200 crore offer, had outbid the Adanis who had quoted Rs 4,539 crore. The Maharashtra government then decided a 45-acre plot belonging to the Railways would be used for the rehabilitation of the slum-dwellers and included it in the project. Since the scope of the project had changed, the government called for fresh bids. By then, three years had passed. In October 2022, Adani Properties made the cut with a Rs 5,069 crore financial bid. The Bombay High Court dismissed Seclink's plea challenging the state government decision. The case is now being heard in the Supreme Court, which has, however, refused to stay the project.

Meanwhile, the criteria for rehabilitation outside Dharavi are also catching flak. The NMDPL has been allocated 541.2 acres across Mumbai to build affordable rental housing units and for open market sale. Anil Desai, the local South Central Mumbai MP and Shiv Sena (UBT) leader, notes no builder has got "such largesse" from the state. The land parcels are in Kurla Dairy (21 acres), Jamasp salt pans (58.5 acres), Deonar dumping ground (124.3 acres), Aksa and Malvani (124.3 acres), Arthur salt works (120.5 acres) and Jenkins salt works (76.9 acres).

The allegations of a "land grab" stem from the fact that, in a city starved of affordable real estate, land is being handed out to the NMDPL at 25 per cent of the ready reckoner rates. For instance, the 21 acres of the now-defunct Kurla Dairy will cost the Adanis just around Rs 58 crore. This is besides the range of sops to the SPV, like a Rs 45 crore stamp duty waiver for the sub-lease agreement between the DRP and Railway

ADANI'S BET

Adani executives say the priority is to complete the rehab/affordable/rental housing by 2032, for which Rs 95,790 crore is earmarked, and that commercial sale is still many years away. But here's an estimate of what Adani could end up earning from open market sale, as per real estate consultants



₹2.5
LAKH CRORE
Total cost of the project, including constructions for open market sale

140
MN SQ. FT*
Total area to be developed by Adani for sale in the open market

₹40,000
Average price per sq. ft

₹5.6
LAKH CRORE#
Revenues that could accrue to Adani

₹84,000
CRORE#
Likely profit the whole project could fetch



"Some 95 per cent of Dharavi residents stay in 50–100 sq. ft houses. They are not opposed to the project, it is only the large godown owners who are against it"

—**RAJESH KHANDARE,** *Shiv Sena (Eknath Shinde)*